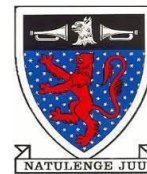


STAREHE BOYS' 2025 PREDICTION



Kenya Certificate of Secondary Education

ANTICIPATED KCSE EXAM



565/1

Business Studies

Paper 1

Time: 2 Hours

NAME.....

SCHOOL..... SIGN.....

INDEX NO..... ADM NO.....

Kenya Certificate of Secondary Education.

INSTRUCTIONS TO CANDIDATES:

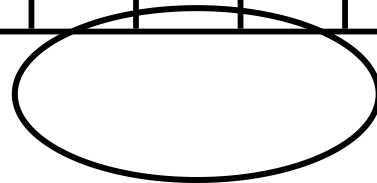
- (a) Write your name, index number in the spaces provided above.*
- (b) Sign and write the date of examination in the spaces provided above.*
- (c) Answer all questions in the spaces provided in the questions paper.*
- (d) Non-Programmable silent electronic calculators may be used.*

FOR EXAMINER'S USE ONLY (100 MARKS)

Question No	1	2	3	4	5	6	7	8	9	10	11	12	13
Marks													

14	15	16	17	18	19	20	21	22	23	24	25

ACHIEVED



Answer all questions in the spaces provided

1. Identify the environmental factor affecting business operations as described by the following statements. **(4 marks)**

S.no	Statement	Factor
a	Skills and methods used by workers in production.	
b	Affects buyer's ability to buy products offered by a business	
c	Firms selling similar products trying to outdo each other in their efforts to maximize profits	
d	Formal arrangement of activities carried out by employees at various levels in an organization.	

2. Give **four** items of information that can be found in an insurance policy. **(4 marks)**

(4 marks)

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3. Highlight **four** factors considered when planning the location of an office. (4 marks)

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4. Outline **four** reasons for collapse of small scale business units. (4 marks)

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5. Many changes have taken place in the transport sector. Identify any four of such changes.(4 m)

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6. Mention **four** costs that are incurred by middlemen while distributing goods. (4 marks)

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7. For each of the following transactions indicate in the appropriate columns the source documents and the books of original entry in which the transactions should be recorded (4 marks)

	Transaction	Source document	Book of original entry
(a)	Goods returned by a customer		
(b)	Purchase of goods on credit		

8. Outline **four** circumstances when high population is desired in a country (4 marks)

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9. Globalization is a term often used to denote business ownership and spread. Outline four merits of globalization of business units. (4 marks)

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10. Give the term that best suit each of the statements described below. **(3 marks)**

	Statement	Term
a	List of wants starting from most pressing to the least pressing	
b	Limited or not enough in supply of something	
c	Value of the best next forgone alternative	

11. The following assets and liabilities belong to Longisa Traders as at 31.12.20

Stock sh. 90,000

Equipment sh. 130,000

Creditors sh.65,000

(a). Work out the net worth of Longisa Traders **(1 mark)**

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12. The following balance were extracted from the books of Bomet East traders on 31st July 2022

Items	Amount
Capital	500000
Cash in hand	20000
Buildings	20000
Furniture	25000
Motor vehicle	137000
Creditor	8000
Debtors	36000
bank	100000

Required: Prepare Bomet East traders trial balance as at 31st July 2022. **(5marks)**

13. The following balances were extracted from the books of Suswa Traders on 31st December 2001

Shs.

Gross profit 400,000

Salaries 160,000

Returns outwards 4,500

Telephone 40,000

Commission received 16,000

Sales 200,000

Commission 30,000

Repairs 15,000

Prepare a profit and loss account for the period ended 31st December 2001. (4 marks)

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14. Outline **four** essentials of a bill of exchange. (4marks)

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15. On 2nd November 2022 Ongengo received an invoice of Ksh. 12000. Terms of payment were: Trade discount of 5% and cash discount of 10%. If payment is made within 30 days. Determine the amount paid if payment was made on 27th November 2022. **(4 marks)**

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16. Identify the product promotion method described by each of the statement below.**(4 marks)**

	Statement	Method
a	Selling a product below its market price so as to entice customers to enter the shop.	
b	Process of passing information with a view of creating and promoting a favourable image of the organization to the public	
c	Paid form of impersonal presentation of a product through mass communication media.	
d	Reduction in the sales price of a product by the seller so	

	that the buyer ends up paying less.	
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17. Highlight any **four** services offered by commercial banks to their clients. (4 marks)

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18. State **four** emerging trends in communication. (4 marks)

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19. Give **four** characteristics of oligopoly market structure. (4 marks)

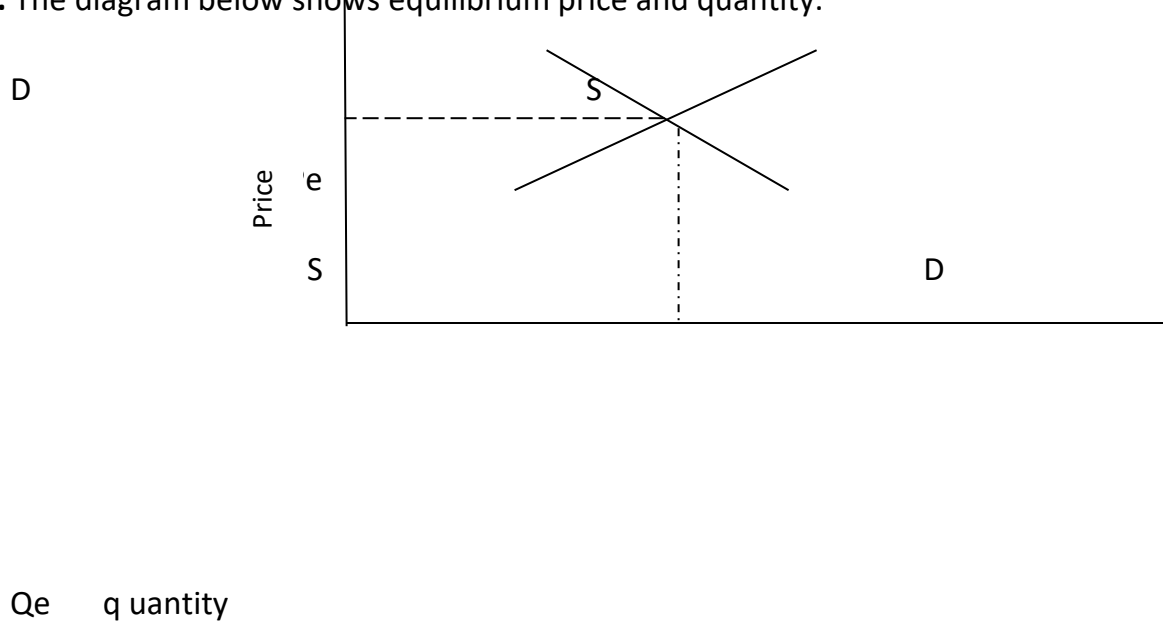
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20. The diagram below shows equilibrium price and quantity.



Draw a new demand curve on the diagram above showing a decrease in demand and the effect on:

(4 marks)

(a). Equilibrium price (P_e)

(b). Equilibrium quantity (Q_e)

(c). Equilibrium point (E)

21. Highlight **four** reasons why a country would rely more on primary level of production. **(4 marks)**

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22. State **four** importance of computing national income statistics in a country such as Kenya. **(4 marks)**

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23. From the transactions below, state the accounts to be debited and to be credited. **(4 marks)**

	Transactions	Debit	Credit
i	Begun a business with Ksh 10,000 in the bank		
ii	Bought equipment by cheque for Ksh. 8,000		

iii	Transferred Ksh 60,000 to the bank from the cash till		
iv	Took cash Ksh.7,000 to pay hospital bill		

24. Outline four advantages of a systematic arrangement of goods in a warehouse. (4 marks)

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25. Name four factors considered when determining size of the firm. (4 marks)

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